

July 8, 2026 03:00 AM GMT

Sanofi SA | Europe

Q2'26 Preview: Beat and raise?

WHAT'S CHANGED

Sanofi SA (SASY.PA)	From	To
Price Target	€90.00	€86.00
Sanofi SA (SNY.N)		
Price Target	US\$52.00	US\$49.00

Sanofi looks set for a solid Q2, with in-line sales and lower R&D driving EPS upside. We see scope for an EPS guidance upgrade while pipeline catalysts remain muted. M&A and new CEO messaging should be the key 2H focus.

Continued Q2 numbers execution ... On our estimates, the quarter looks strong, with sales broadly in line with Street, R&D ~5% below consensus with no major Phase 3 starts, driving ~4% EPS upside and a path to an EPS guidance raise. We estimate Dupixent Q2 sales of €4.4bn (in-line with consensus) and Lantus sales of €413m (4% ahead of street).

... potential for a FY'26 guidance raise. Sanofi have guided for FY'26 group sales to grow by HSD% and EPS to grow slightly ahead of sales (pre the buyback), both at CER. For FY26, we still forecast ~9% CER group revenue growth and ~13.5% CER EPS growth, though continued Dupixent momentum could drive sales growth higher. We expect Sanofi to reiterate sales guidance of HSD% growth YoY and raise EPS growth to low teens % YoY (MSe share buyback is ~1% accretive to business EPS).

Little left in 2026 on pipeline newsflow, with expectations muted. We expect the new CEO, Belén Garijo, to message around continuity, highlighting tighter execution, clearer guidance, more decisive capital allocation and explicit therapeutic area priorities with the leadership change in R&D. Upcoming newsflow includes detailed lunsekimig asthma data at ERS on 5-9 September, where the bar is broadly Tezspire-like exacerbation reduction (60-70%) plus ~0.2L FEV1 benefit to show real differentiation. Amlitelimab ESTUARY / AQUA is more about durability and safety reassurance after the Kaposi's Sarcoma overhang than a clean re-rating event, while expectations on itepekimab' go / no-go decision remain low given a third COPD Phase 3 is required for registration following FDA discussions.

M&A remains the key 2H lever. With pipeline newsflow thin and the next meaningful innovation catalysts largely 2027-weighted, M&A strategy remains in focus. Management has discussed ~€15bn capacity for earlier-stage deals and €20-25bn+ for late-stage / commercial assets. While the Regeneron alliance and whether new assets could be included (e.g. amlitelimab, lunsekimig and the long acting IL-4 / IL-13 bispecifics) remains a lever, alliance alignment makes timing uncertain.

Numbers de-risked, re-rating catalyst unclear. Remain Equal-weight, PT €86 (from €90). With this note, we reduce FY'30-35e revenue by 1-2% and EPS by 1-5% to reflect updated FX assumptions and the removal of riliprubart following

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Sanofi SA (SASY.PA, SAN FP)

ADRSNY.N

Pharmaceuticals | France

Stock Rating	Equal-weight
Industry View	In-Line
Shr price, close (Jul 7, 2026)	€75.78
Price target	€86.00
52-Week Range	€91.15-71.25
Mkt cap, curr (mn)	€91,905

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
Sales / Revenue (€mn)**	46,716	49,502	52,063	54,501
EBITDA (€mn)**	13,810	15,114	15,689	17,008
EBIT (€mn)**	12,149	13,336	13,959	15,191
EPS (€)**	7.83	8.68	9.13	10.04
ModelWare EPS (€)	7.80	8.65	9.10	9.99
Prior EPS (€)**	-	8.61	9.05	9.98
EPS (€)§	7.77	8.40	8.94	9.80

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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termination of the Phase 3 MOBILIZE study in SOC-refractory CIDP. This drives a ~5% reduction in our price target. Our FY'26 revenue forecast remains consistent with management's high-single-digit CER growth guidance (~9% YoY), while our ~14% CER EPS forecast remains above guidance, which we view as conservative given embedded M&A-related R&D and financing costs that appear unlikely to fully materialize.

Exhibit 1: Q2'26 MSe sales vs Vara consensus

EURm	2Q26E	2Q26 cons	MS vs Cons (%)	MS vs Cons (abs)
Group sales	10,800	10,823	-0%	-23
Biopharma sales	10,800	10,823	-0%	-23
Pharma sales	9,542	9,578	-0%	-36
Dupixent	4,427	4,413	+0%	+14
Pharma launches	1,225	1,271	-4%	-46
Nexvazyme	204	216	-6%	-12
Sarclisa	167	169	-1%	-2
Altuviiio	370	380	-3%	-10
Rezurock	143	142	+1%	+1
Cablivi	71	72	-2%	-1
Xenpозyme	66	65	+1%	+1
Tzield	23	25	-8%	-2
Ayvakit	182	202	-10%	-20
Other products	3,890	3,894	-0%	-4
Lantus	413	399	+4%	+14
Toujeo	343	349	-2%	-6
Lovenox	176	186	-5%	-10
Plavix	227	222	+2%	+5
Fabrazyme	267	263	+2%	+4
Myozyme	115	120	-4%	-5
Cerezyme	162	168	-3%	-6
Kevzara	138	144	-4%	-6
Eloctate	57	54	+5%	+3
Alprolix	136	139	-2%	-3
Industrial sales	138	138	-0%	-0
Other	1,719	1,712	+0%	+7
Vaccines	1,258	1,245	+1%	+13
Influenza	132	135	-2%	-3
Beyfortus	79	83	-5%	-4
PPH & Boosters (incl. Heplisav B)	749	727	+3%	+22
Meningitis / Travel and endemic vaccines	298	301	-1%	-3

Source: Company-compiled consensus, company data, Morgan Stanley Research estimates (E)

Exhibit 2: Q2'26 MSe P&L vs. Vara consensus

EURm	2Q26E	2Q26 cons	MS vs Cons (%)	MS vs Cons (abs)
P&L				
Group Sales	10,800	10,823	-0%	-23
Other revenues	650	755	-14%	-105
COGS	-3,023	-3,136	-4%	+113
% of sales	28.0%	29.0%		
Gross Profit	8,427	8,442	-0%	-15
Gross margin (% of sales)	78.0%	78.0%		
R&D	-1,870	-1,963	-5%	+93
% of sales	17.3%	18.1%		
SG&A	-2,380	-2,374	+0%	-6
% of sales	22.0%	21.9%		
Other operating income/expenses	-1,194	-1,212	-1%	+18
Share of profit/loss of associates	38	35	+8%	+3
Minorities	-4	-3	+17%	-1
Business Operating Income	3,016	2,923	+3%	+93
Operating margin	27.9%	27.0%		
Financial income & expense	-115	-106	+8%	-9
Income Tax	-574	-569	+1%	-5
Core tax rate	20.0%	20.2%		
Business EPS	1.95	1.88	+4%	+0.07

Source: Company-compiled consensus, company data, Morgan Stanley Research estimates (E)

Preview to earnings

Focus KPI	Focus KPI Surprise	Likely impact to consensus EPS*
Sanofi SA SASY.PA		
EPS	↑ Likely upside surprise	↑ Modest revision higher

*Likely impact to consensus EPS is for the next 12 months
Source: Company data, Morgan Stanley Research

Risk Reward – Sanofi SA (SASY.PA)

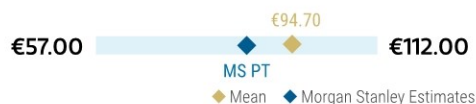
Looking for the Next Chapter

PRICE TARGET €86.00

We value Sanofi using a DCF analysis with a WACC of 7.4% and a terminal growth rate of 1%.

Consensus Price Target Distribution

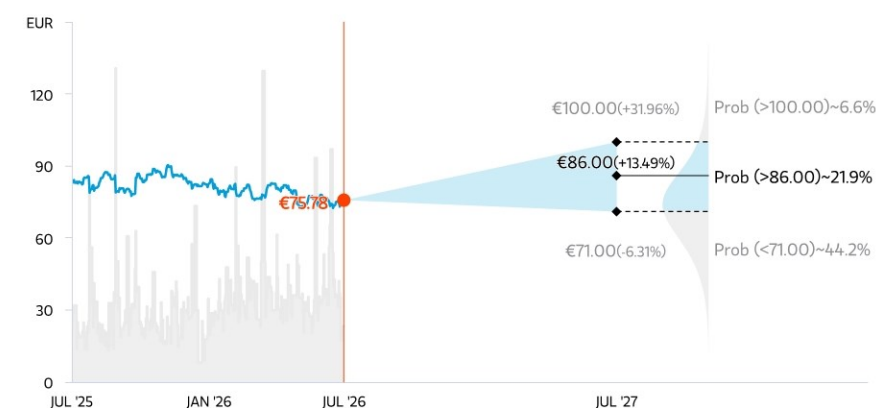
Source: Refinitiv, Morgan Stanley Research



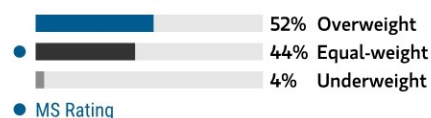
EQUAL-WEIGHT THESIS

Q1 supports upside to 2026 numbers and scope for a Q2 guidance raise, but the equity story remains catalyst-light. With key pipeline readouts now in 2027 and CEO/M&A actions likely back-end loaded, the cheap valuation alone may not close the discount. Equal-weight; PT €86.

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 7 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

BULL CASE

€100.00

~12x 2026e bull case EPS

~+7% revenue / ~+11% EPS CAGR 2026-29. Pivotal pipeline delivers unlocking ~€9bn of peak sales by 2035. In this scenario, we expect Sanofi to partially close the valuation gap to peers, with pipeline uncertainty lifting.

BASE CASE

€86.00

~10x 2026e base case EPS

~+5% revenue / ~+8% EPS CAGR 2026-29. We assume +70bps of operating margin expansion in 2026 and the pipeline contributes ~€6bn to group sales by 2035.

BEAR CASE

€71.00

~9x 2026e bear case EPS

~+2% revenue / ~+5% EPS CAGR 2026-29. We assume flat operating margins in 2026 and 70bps of decline in 2027 based on greater internal R&D spend to bolster the pipeline. We assume the pipeline contributes ~€5bn to sales by 2035.

Risk Reward – Sanofi SA (SASY.PA)

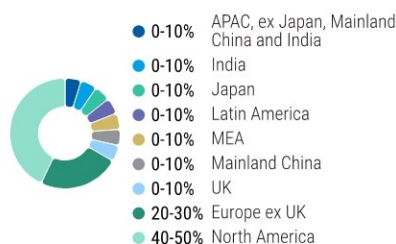
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Group sales growth at CER (%)	9.9	9.1	5.7	5.0
Pharma sales growth at CER (%)	12.2	10.6	6.1	5.2
Core group gross margin (%)	77.5	77.9	78.7	79.4
Core group operating margin (%)	27.8	28.5	28.2	29.3
Core EPS growth at CER (%)	15.0	13.5	5.3	9.9

INVESTMENT DRIVERS

- Dupixent & Vaccines growth
- New launches momentum & royalty contributions
- Success of pharma and the emerging vaccines pipeline

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5
MOST
3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Dupixent continues to outperform expectations driven by indication expansion and LCM
- Positive data from pipeline assets
- Value creative M&A

RISKS TO DOWNSIDE

- New competition across immunology indications creates pricing pressure
- Greater disruption of the vaccine franchise (e.g. flu and RSV competition)
- Further pipeline setbacks create concentration risk

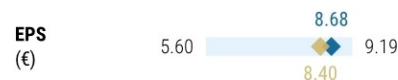
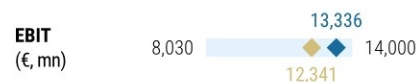
OWNERSHIP POSITIONING

Inst. Owners, % Active	58.5%	
HF Sector Long/Short Ratio	2.6x	
HF Sector Net Exposure	13.1%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Sanofi SA (SNY.N)

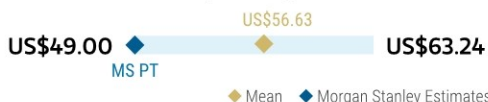
Looking for the Next Chapter

PRICE TARGET US\$49.00

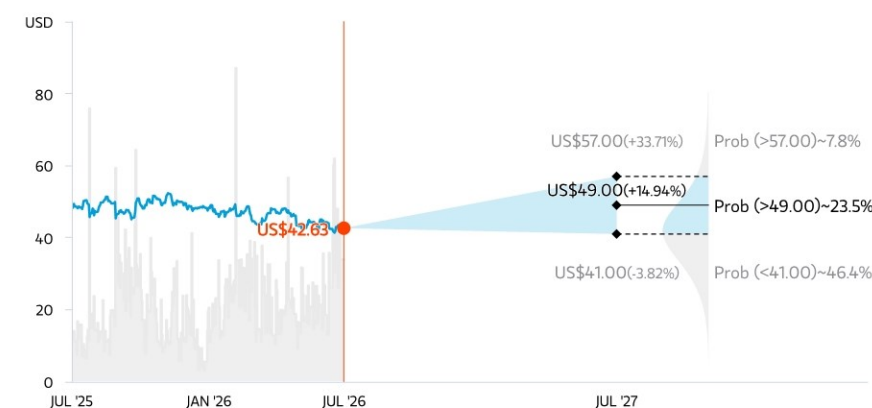
We value Sanofi using a DCF analysis with a WACC of 7.4% and a terminal growth rate of 1%. The ADR ratio is 1:2 and using EUR:USD of 1.15 leads to an ADR price target of \$49.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



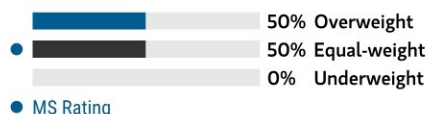
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Q1 supports upside to 2026 numbers and scope for a Q2 guidance raise, but the equity story remains catalyst-light. With key pipeline readouts now in 2027 and CEO/M&A actions likely back-end loaded, the cheap valuation alone may not close the discount. Downgrade to Equal-weight; PT \$49.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

US\$57.00

~12x 2026e bull case EPS

~+7% revenue / ~+11% EPS CAGR 2026-29. Pivotal pipeline delivers unlocking ~€9bn of peak sales by 2035. In this scenario, we expect Sanofi to partially close the valuation gap to peers, with pipeline uncertainty lifting.

BASE CASE

US\$49.00

~10x 2026e base case EPS

~+5% revenue / ~+8% EPS CAGR 2026-29. We assume +50bps of operating margin expansion in 2026 and the pipeline contributes ~€6bn to group sales by 2035.

BEAR CASE

US\$41.00

~9x 2026e bear case EPS

~+2% revenue / ~+5% EPS CAGR 2026-29. We assume flat operating margins in 2026 and 70bps of decline in 2027 based on greater internal R&D spend to bolster the pipeline. We assume the pipeline contributes ~€5bn to sales by 2035.

Risk Reward – Sanofi SA (SNY.N)

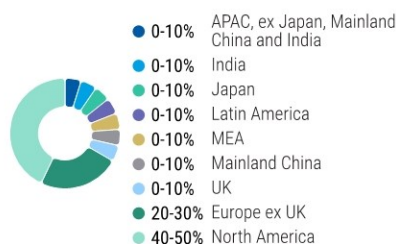
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Source: Morgan Stanley Research Estimate
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RISKS TO UPSIDE

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- Positive data from pipeline assets
- Stronger new launch + Amvuttra momentum than expected
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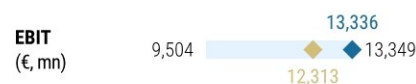
OWNERSHIP POSITIONING

Inst. Owners, % Active	74.1%				
HF Sector Long/Short Ratio	2.2x				
HF Sector Net Exposure	17.5%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of June 30, 2026)

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For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

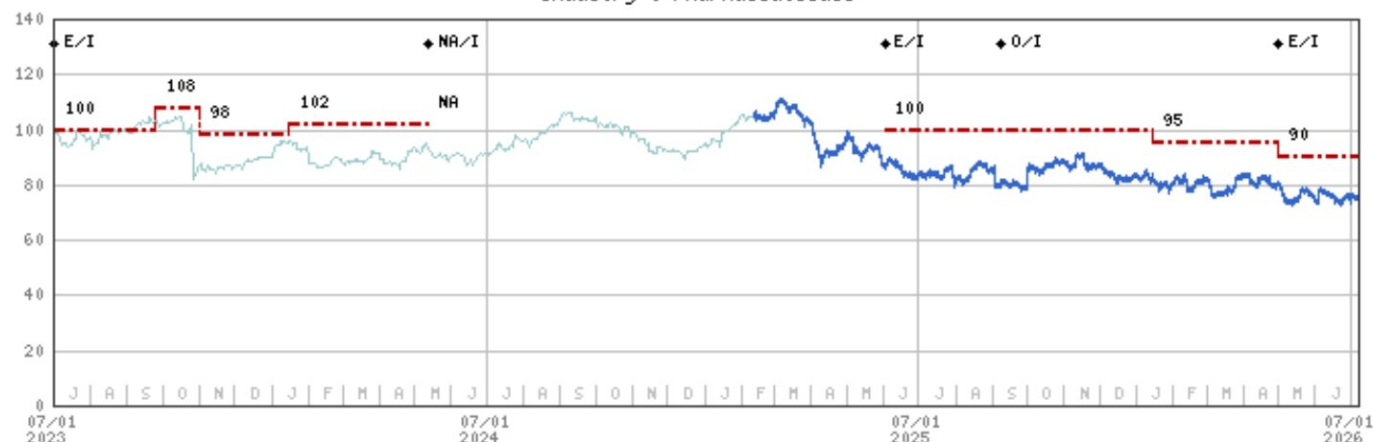
Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below. Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Sanofi SA (SASY.PA) - As of 07/07/26 GMT in EUR
Industry : Pharmaceuticals



Stock Rating History: 7/1/21 : O/I; 11/29/22 : NA/I; 12/12/22 : O/I; 1/6/23 : E/I; 5/13/24 : NA/I; 6/2/25 : E/I; 9/8/25 : O/I; 5/1/26 : E/I

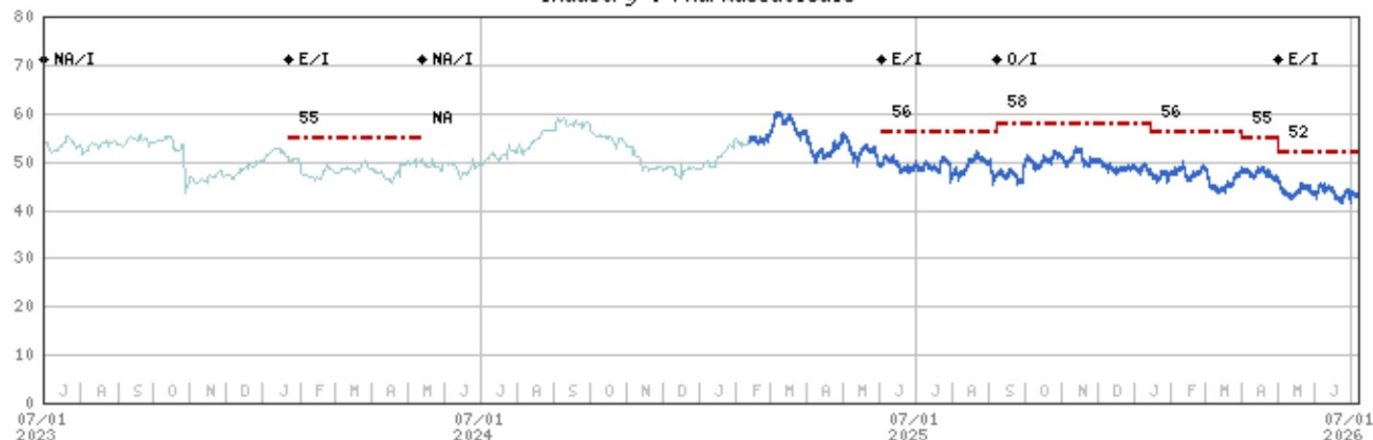
Price Target History: 2/10/21 : 104; 8/5/21 : 106; 1/14/22 : 108; 3/28/22 : 110; 4/21/22 : 112; 9/7/22 : 93; 10/4/22 : 95; 11/29/22 : NA; 12/12/22 : 95; 1/6/23 : 102; 2/6/23 : 99; 4/5/23 : 102; 5/3/23 : 100; 9/25/23 : 108; 11/1/23 : 98; 1/16/24 : 102; 5/13/24 : NA; 6/2/25 : 100; 1/15/26 : 95; 5/1/26 : 90

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Sanofi SA (SNY.N) - As of 07/07/26 GMT in USD
Industry : Pharmaceuticals



Stock Rating History: 7/1/21 : NA/I; 11/29/22 : NA/I; 1/22/24 : E/I; 5/13/24 : NA/I; 6/2/25 : E/I; 9/8/25 : O/I; 5/1/26 : E/I

Price Target History: 11/29/22 : NA; 1/22/24 : 55; 5/13/24 : NA; 6/2/25 : 56; 9/8/25 : 58; 1/15/26 : 56; 3/31/26 : 55; 5/1/26 : 52

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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INDUSTRY COVERAGE: Pharmaceuticals

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/06/2026)
Sarita Kapila		
AstraZeneca Plc (AZN.L)	O (02/12/2025)	14,364p
AstraZeneca Plc (AZN.N)	O (02/12/2025)	US\$190.16
GSK plc (GSK.L)	U (02/12/2025)	2,003p

GSK plc (GSK.N)	U (02/12/2025)	US\$53.09
Roche Holding AG (RHHBY.PK)	E (04/24/2026)	US\$51.59
Roche Holding AG (ROPC.S)	E (04/24/2026)	SFr 339.50
Sanofi SA (SASY.PA)	E (05/01/2026)	€75.78
Sanofi SA (SNY.N)	E (05/01/2026)	US\$42.63
UCB S.A. (UCB.BR)	E (03/06/2026)	€253.80
Thibault Bouterin		
Alvotect SA (ALVO.O)	O (10/14/2025)	US\$3.46
Bayer AG (BAYGn.DE)	O (12/03/2025)	€50.82
Galderma Group AG (GALD.S)	E (05/02/2024)	SFr 176.55
Grifols SA (GRLS.MC)	E (03/10/2026)	€9.04
Lonza Group AG (LONN.S)	O (11/25/2025)	SFr 574.40
Merck KGaA (MRCG.DE)	E (02/12/2025)	€141.75
Novartis AG (NOVN.S)	O (10/31/2025)	SFr 126.80
Novartis AG (NVS.N)	O (10/31/2025)	US\$155.49
Novo Nordisk A/S (NOVOB.CO)	E (03/03/2026)	DKr 327.45
Novo Nordisk A/S (NVO.N)	E (03/03/2026)	US\$49.26
Sandoz Group AG (SDZ.S)	U (02/27/2026)	SFr 69.96
Sartorius AG (SATG_p.DE)	O (02/12/2025)	€232.20
Sartorius Stedim Biotech SA (STDM.PA)	O (02/12/2025)	€179.30
Teva Pharmaceutical Industries Ltd. (TEVA.N)		US\$35.29

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* Historical prices are not split adjusted.